3. Types of Organizations & Setting Marketing Objectives

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1. The Digital-Ready Organization

One Strategy Doesn't Fit All

- Experimented on monkeys on Kojima island in 1950s with sweet potatoes on the beach sand.
- A young monkey names Imo learnt that the potatoes would taste better if she washed them first.
- Imo taught others about the new food hygiene habit.
- It's called hundredth-monkey effect - required critical mass for a behavioral change to happen

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1. The Digital-Ready Organization

- Young generations are the ones leading the way in digital transformation.
- Generation Y and Z combined the biggest consumer market in history.
- But digital lifestyle is a new norm.
- Everyone seems to embrace the digital lifestyle and cannot imagine living without it, and yet inertia still exists.

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Case Study: Covid-19 as the digitalization accelerator

- Seem to struggle with revenue decline and cash flow problems
- The pandemic and social distancing foster the businesses to become more digital faster - customers were dependent on online platforms for their daily activities.
- It is believed that this behavior change is not only during the crisis but for long after.

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Case Study: Covid-19 as the digitalization accelerator



FIGURE 5.1 Digitalization Amid COVID-19

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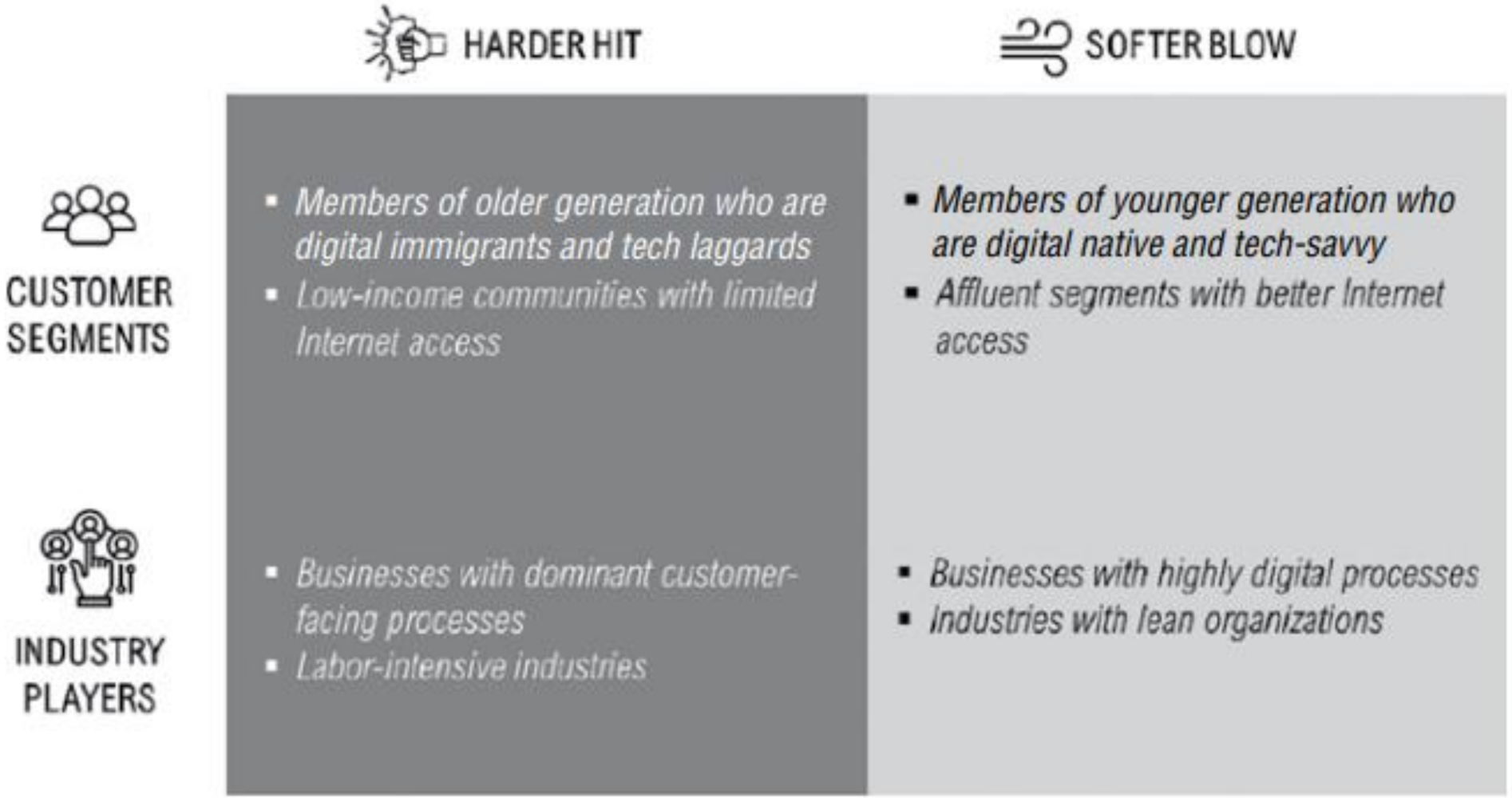


FIGURE 5.2 How COVID-19 Has Affected Different Customer Segments and Industry Players

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1.1. Digital Readiness Assessment

- Different degree of readiness dictates the digitalization strategy to pursue.
- This assessment must take into account both supply and demand sides.
- 4 quadrants including
  - Origin Quadrant
  - Onward Quadrant
  - Organic Quadrant
  - Omni Quadrant

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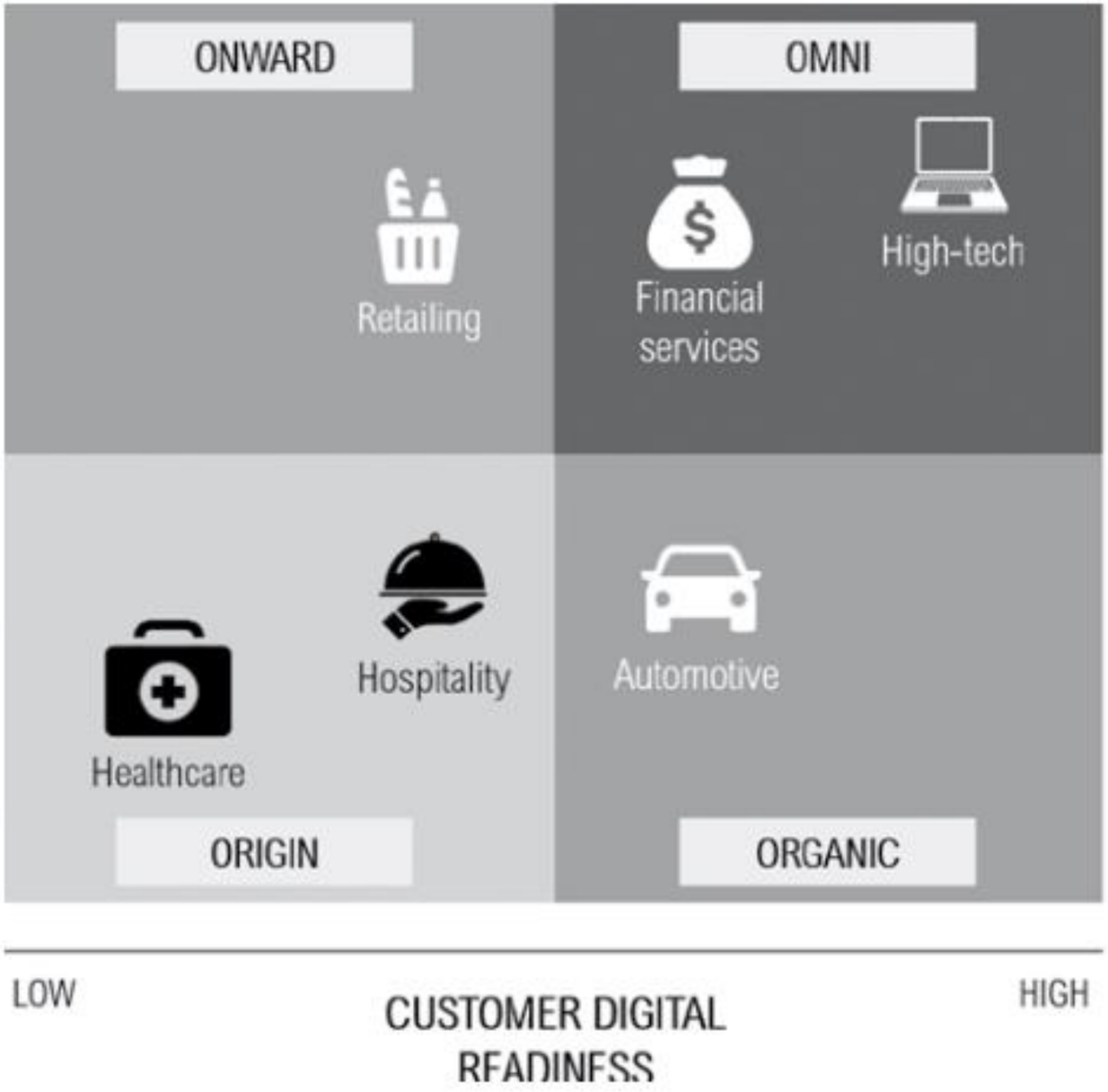


FIGURE 5.3 Digital Readiness by Industry

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1.1.1. Origin Quadrant

- The hardest hit during the pandemic because their business processes still include significant physical interactions.
- It is also unlikely for them to migrate customers to digital touchpoints, mostly due to the lack of urgency for purchase during a crisis.
  - Hospitality industry; and
  - Healthcare industry
- For players - a chicken-and-egg dilemma: invest in digitalization or wait for customers to migrate to digital behavior.

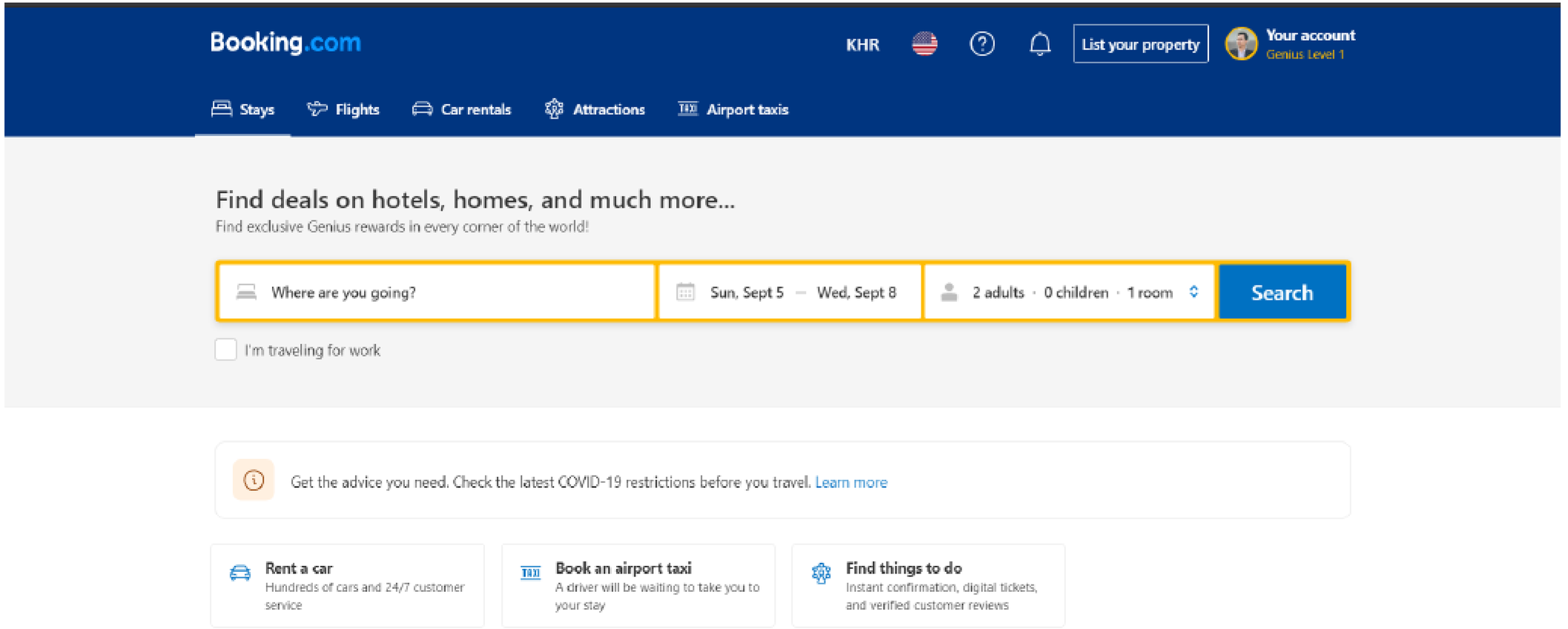
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1.1.1. Origin Quadrant

- For hospitality industry
  - Travel review sites
  - Online booking platforms
  - Online lodging marketplaces - Airbnb
- Digitalization is mostly on the surface level and not yet at a transformative level for the industry.
  - Mainly for Digital ads, content marketing, robotics, and the Internet of Thing (IoT).
- But the customer responses have been lukewarm

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1.1.1. Origin Quadrant



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1.1.1. Origin Quadrant

- 5 IoT Example within the Travel Industry

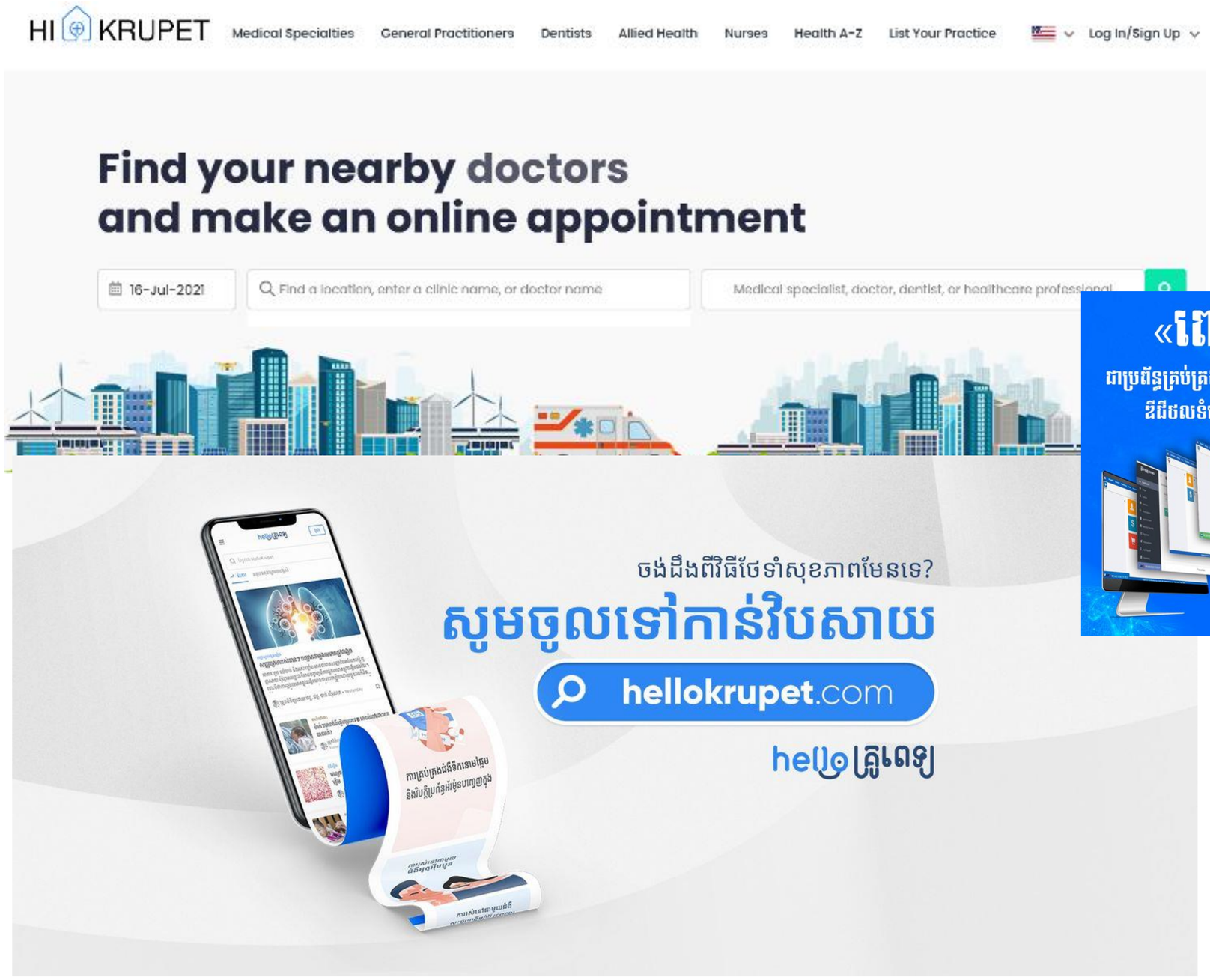
  - Personal Control - can turn on or off of electronic devices from one place or regulating seat temperature or air conditioning
  - Seamless Travel - using sensors alerting about their baggage.
  - Smart energy saving - sensors allow for the room temperature and lighting level.
  - Location information - send location-specific information and other information about traffic and nearby attractions.
  - Maintenance & Repairs - allowing essential devices to be repaired or replaced before they stop functioning.

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1.1.1. Origin Quadrant

- For healthcare industry
  - AI (Artificial Intelligence) has the power to transform healthcare
  - Majority still delivery traditionally even during the pandemic
  - Providers seem to struggle to provide the infrastructure and healthcare professionals who are digital-ready.
  - The payers will have the same willingness to pay for telehealth?

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HI KRUPET
Medical Specialties
General Practitioners
Dentists
Allied Health
Nurses
Health A-Z
List Your Practice
Log In/Sign Up
Find your nearby doctors
and make an online appointment
16-Jul-2021
Find a location, enter a clinic name, or doctor name
Medical specialist, doctor, dentist, or healthcare professional
ចង់ដឹងពីវិធីថែទាំសុខភាពមែនទេ?
សូមចូលទៅកាន់វិបសាយ
hellokrupet.com
hello គ្រូពេទ្យ


«ពេទ្យយើង»
ជាប្រព័ន្ធគ្រប់គ្រងគ្លីនិក មន្ទីរពេទ្យរដ្ឋ និងឯកជន
ឌីជីថលទំនើបឈានមុខគេនៅកម្ពុជា
e-Health MyCLNQ
កម្មវិធីសេវាព្យាបាល
ចល័តពីចម្ងាយ កម្ពុជា សិង្ហបុរី
e-Health MyCLNQ
App Store
Google Play

1.1.2. Onward Quadrant

Retailing Industry

- Have difficulty migrating customers despite having invested significant digitalization of their business process.
- Having digital ecosystems in place and have been incentivizing customers to go digital for some time, but most customers still stuck in inertia.
- Amazon and Walmart has dominated the e-commerce scene for many years.
- DHL and social media have become e-commerce fulfillment network.
- However, the income is only 12% of total retail trade

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1.1.2. Onward Quadrant

- Statistic reveals that although 80% of Americans do online shopping, majority of them still prefer to go to the stores.
- The pandemic could create a new norm- bulk of shoppers migrate to a more digital customer journey.
- Industry players need to monitor the trend closely to see if the pandemic is a big enough catalyst for online retailing.







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1.1.3. Organic Quadrant

Automotive Industry

- Industries delivering products and services with a high degree of physical touchpoints.
- On the other hand, most of the customers are ready to migrate to go digital. They will become primary drivers, forcing companies to adopt digital technologies.
- Customers do research online and eventually buy at the dealers. eg. Test-drive reservation
- Carsales, Vroom, Khmer24

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1.1.4. Omni Quadrant

High-tech and Financial Industry

- Industries experiencing softer blow during the Covid-19 crisis.
- With digitalization as a major part of their DNA, the pandemic simply gave them a significant push.
    - Amazon, Microsoft, Netflix, Zoom and Salesforce have all experienced high growth.
- Digital financial services - cashless payments, online and mobile banking facilities.

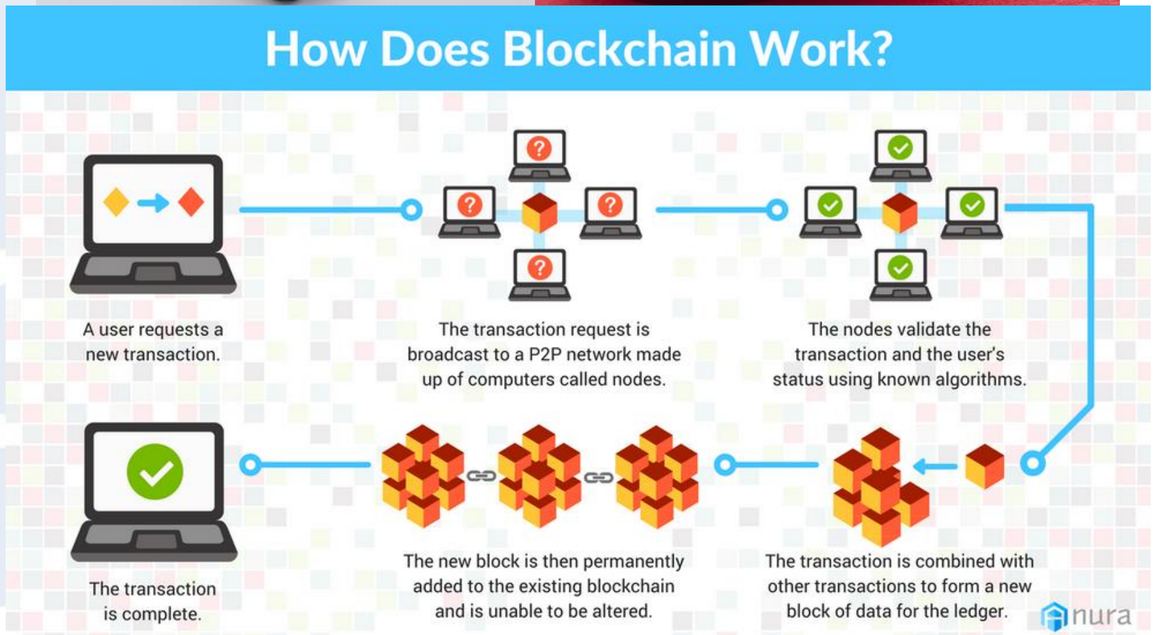
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1.1.4. Omni Quadrant

- But the digitalization goes far deeper than that in the industry.
- Financial services
  - Chatbots for reducing call center overload
  - Blockchain for enhancing transaction security; and
  - AI to detect fraud







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1.2. How ready are you go Digital?

Digital Readiness Assessment

1. **Company Digital Readiness**
   a. **Digital Customer experience**
      - The company can engage with customers digitally to a large extent across customer journeys.
      - All the digital touchpoints can be integrated into a seamless and frictionless customer experience.
      - The company can crate value and capture revenue through digital business models.

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1.2. How ready are you go Digital?

Digital Readiness Assessment

1. Company Digital Readiness

b. Digital Infrastructure

- Technologies to capture, store, manage, analyze a large volume of customer data in real-time are available.
- Business processes are digitalized and re-engineered to fit the new digital business model.
- The digitalization of physical assets, such as buildings, fleet, and equipment with IoT, is implemented.

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1.2. How ready are you go Digital?

Digital Readiness Assessment

1. Company Digital Readiness

c. Digital Organization

- Most employees are empowered with digital tools to work remotely and collaborate with others virtually.
- Building digital talents, such as data scientists, UX designers, and IT architect, is a key priority.
- Strong digital culture exists, enabling alignment between business managers and digital talents.

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1.2. How ready are you go Digital?

2. Customer Digital Readiness

a. Digital Customer Base

- Majority of the customer base are Generation Y and Z who are digital savvy.
- Most customers already engage and transact with the company via digital platforms.
- When consuming or using the products and services, customers are required to interact with digital interfaces.

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1.2. How ready are you go Digital?

2. Customer Digital Readiness

b. Digital Customer Journey

- The customer journeys are already entirely or partially online (webrooming or showrooming)
- Physical touchpoints that customers find frustrating can be replaced and enhanced by digital technologies.
- A wealth of information is available on the Internet for customers to make well-informed decisions by themselves.

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1.2. How ready are you go Digital?

2. Customer Digital Readiness

c. Customer propensity to go Digital

- Customers deem physical interactions with the company to be unnecessary, irrelevant, and of no value.
- The products and services are considered less complicated, and thus the risks and trust issues are limited.
- Most customers have more incentives to go digital; more choices, better prices, higher quality, better convenience.

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1.3. The Digitalization Strategies

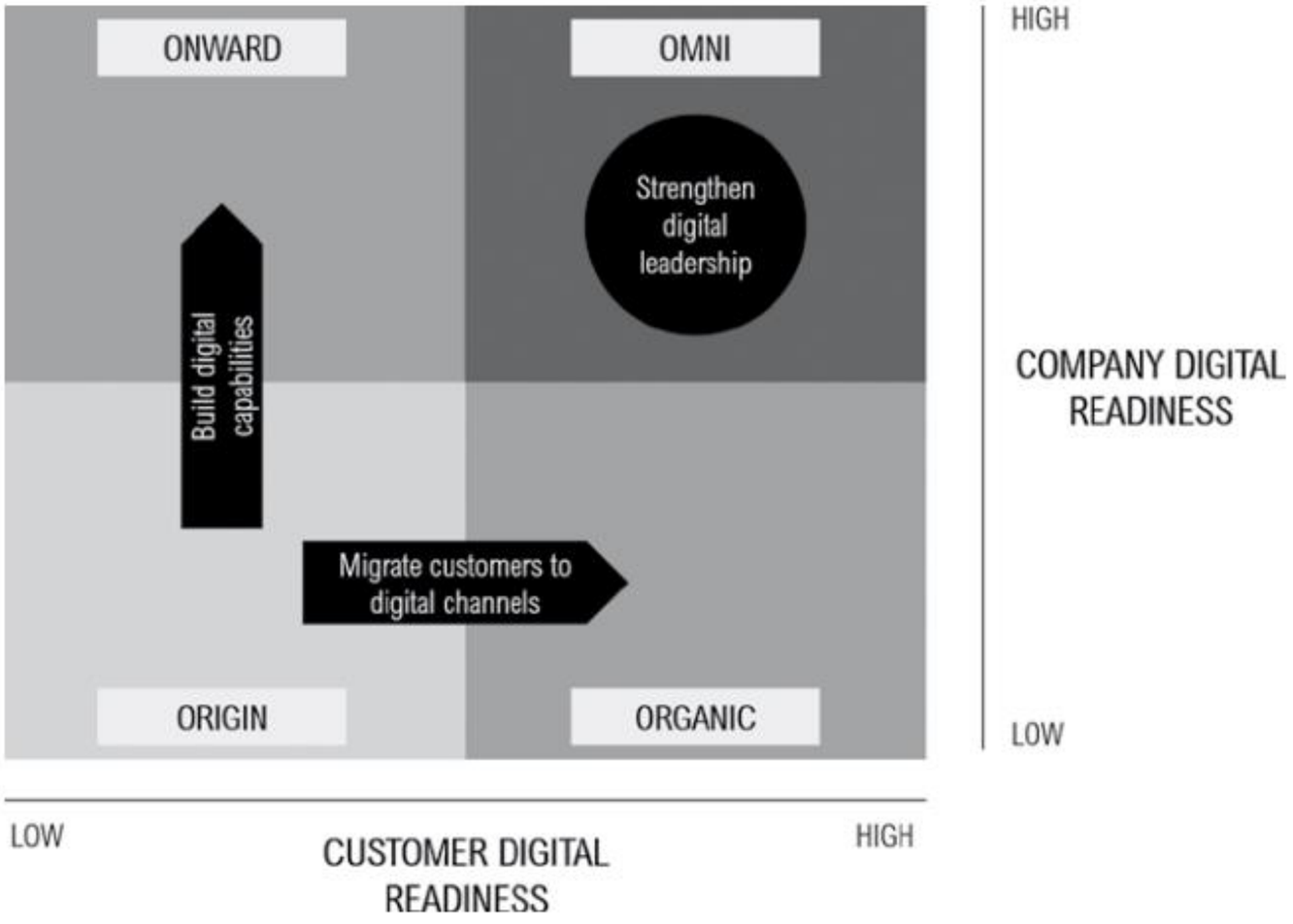


FIGURE 5.5 The Digitalization Strategies

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1.3.1. Strategies to Migrate Customers to Digital Channels

- Provide incentives to go Digital
- Address Frustration points with digital
- Recreate desired physical interactions with digital

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1.3.2. Strategies to Build Digital Capabilities

- Invest in Digital Infrastructure
- Develop digital customer experience
- Establish strong digital organization

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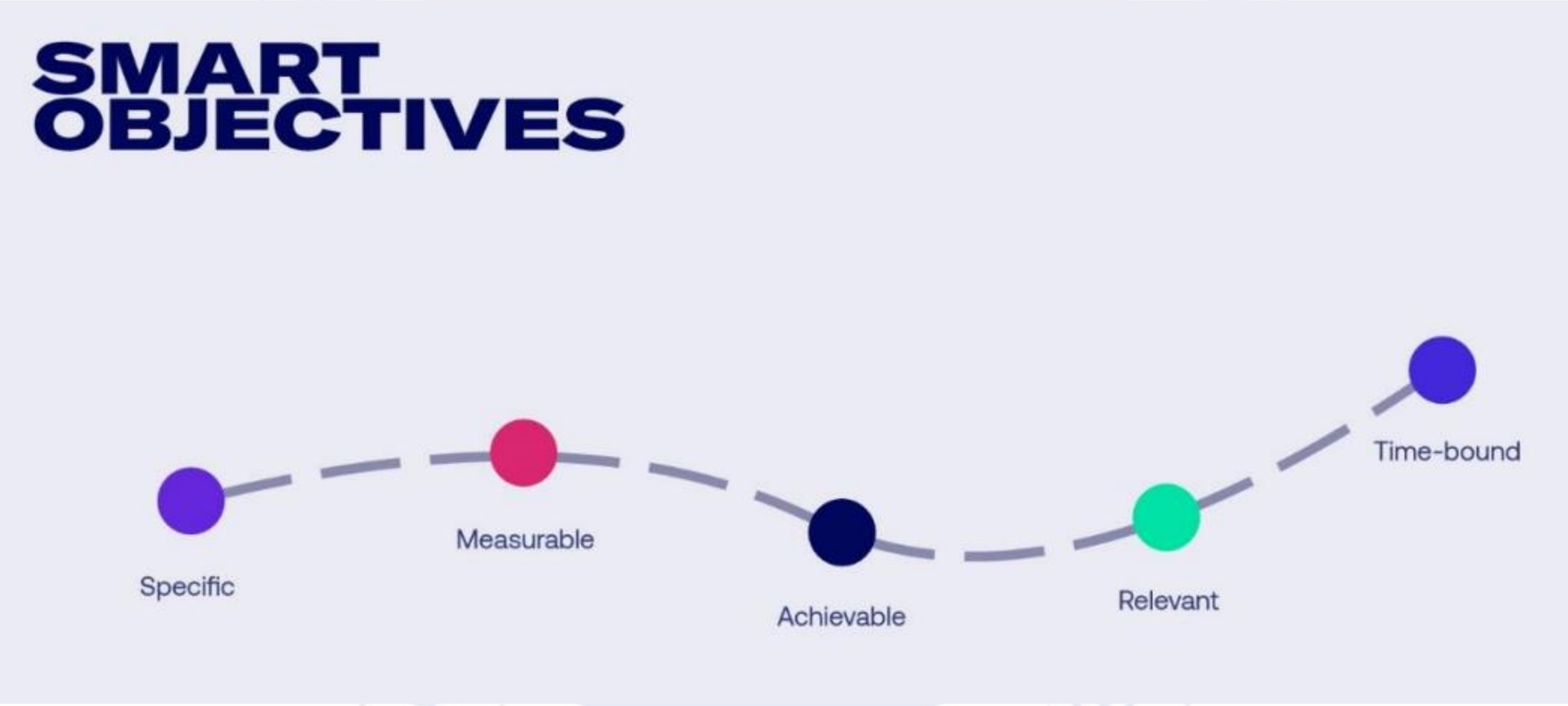
1.3.3. Strategies to Strengthen Digital Leadership

- Adopt the Next Tech
- Introduce the new CX
- Strengthen position as the Digital-First-Brand

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2. Marketing Objectives - SMART

Used to develop a result-driven marketing strategy



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2. Marketing Objectives - SMART

Specific Objective – a well-defined and clear goal starting exactly what you aim to achieve

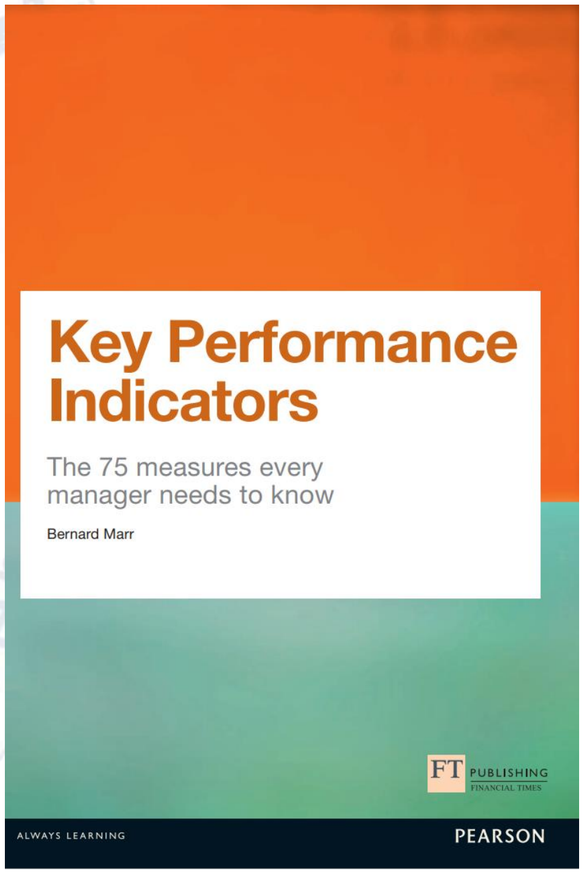
1. **Think simple, sensible and significant**
2. **What? Why? Who? Where?**
3. **Clear and specific goal summary**
4. **Describe an action that involves the customer**
5. **Unique objective**

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2. Marketing Objectives - SMART

Measurable Objective– an obtainable goal that can be quantifiably described

1. Metrics
2. Milestones
3. Results
4. Budget



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2. Marketing Objectives - SMART

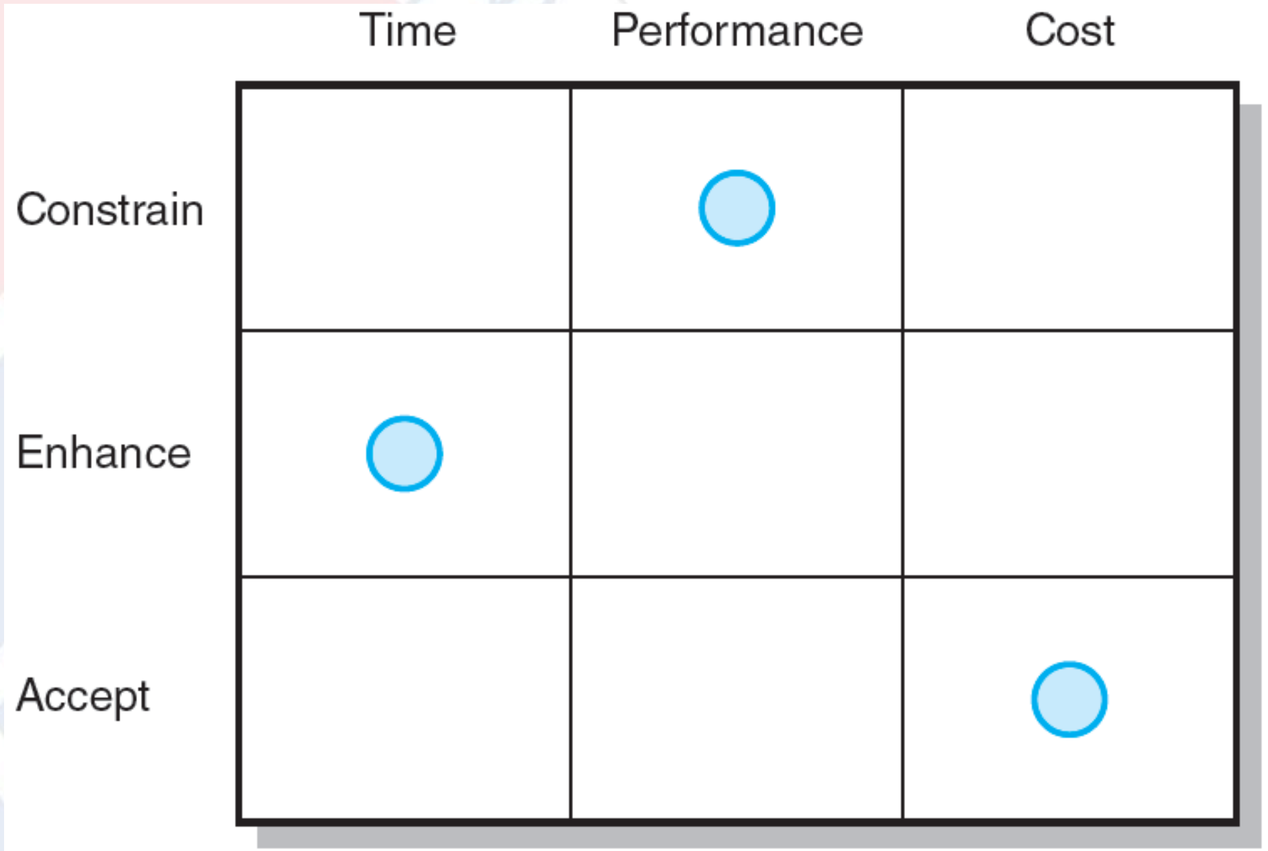
Achievable– an objective that is achievable with the suitable skills, resources, and constraints to achieve it

1. Skills – how can I accomplish this goal?
2. Resources – what is the allocated budget that I currently have for this?
3. Tools – how realistic is the goal, based on other constraints?
4. Time – how many hours a week can the team work on this?

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2. Marketing Objectives - SMART





Larson, E.W., & Gray, C. F. (2018). Project Management.

The managerial process. 7ed.

2. Marketing Objectives - SMART

Relevant Objective– an objective that is an added value within the context it is set, aligned with strategies and higher goals.

1. Need - does this seem worthwhile?
2. Objectives – does this fit into our other efforts?
3. Values – are we the right team?
4. Goals – is this applicable in the current socio-economic environment?

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2. Marketing Objectives - SMART

Time-bound Objective– an objective that can be achieved within a set timeframe.

1. Create focus – what must I achieve today?
2. Milestones – what can I do six weeks from now?
3. Deadlines – what is the appropriate timeframe that should be given to achieve this goal?

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❑ Explore your topic based on the following steps

1. What is the most critical challenge in your area of work, in your organization, in your city, or in your country? (e.g. Informal settlements in the process of urbanization; safety accidents at the construction sites; environmental damage of infrastructure project).. Please demonstrate the extent of the problem with data and/or articles

2. What are the reasons for the challenges? (e.g. lack of supply in affordable housing, or too rapid urbanization; lack of training of safety factors; underestimation of the environmental value)

3. What is your proposed approach to resolve the problem?

4. Why you are interested in this issue? Or, what is your individual motivation to research on this topic?

5. So, what is your topic?